smugglers, terrorists and human traffickers in Nepal to launch anti-India operations. A spy code-named Diwakar Sharma said that during the visit of Nepal's foreign secretary, K.B. Shrestha, to Delhi in June 1996, the Indian side had raised the issue of the underworld and made it clear that anti-India activities from the neighbourhood would not be tolerated. However, the R&AW informed the government that the network was gaining strength in various nondescript Nepalese towns and could become a nightmare for India's internal security.

'The Nepalese internal security apparatus, including its intelligence wing, was still learning the ropes,' said Diwakar. 'They did not know the repercussions of allowing underworld terrorists to operate in their territory since India was the primary target, not Nepal. Though our action was large in scale, local support was missing and that created a huge problem for us. We paid the price in 19 9 9

In September 1999, External Affairs Minister Jaswant Singh was in Kathmandu for an official visit. While the two countries reaffirmed their commitment to ensuring their territories were not used for activities prejudicial to the security of the other, Singh was keen on a clear demarcation of the porous boundary that was proving to be a major advantage for smugglers and terror outfits. India had freshly emerged from the Kargil War and the focus of the government under National Security Advisor Brajesh Mishra was to ensure that troubles in the neighbourhood were neutralised in a timely manner. Two months later, Indian Airlines flight IC 814 with one hundred and seventy-eight passengers and eleven crew members on board, took off from Kathmandu for New Delhi on 24 December 1999 and was hijacked by Pakistani terrorists. Although the hostages were released on 31 December in exchange for three